U.S. Department of Labor Wage and Hour Division
Washington, D.C. 20210

FLSA2026-2

January 5, 2026

Dear **Name***:

This letter responds to your request for an opinion concerning whether section 7(e) of the Fair Labor Standards Act (FLSA or Act) permits your employer to exclude certain bonus payments from the "regular rate of pay" and, if not, how it must include these payments in the calculation of employee overtime premiums.

It is our opinion that, under the facts and circumstances set forth in your request, your employer must include the bonus payments you describe in each employee's regular rate of pay for every workweek said bonuses are earned. These payments do not qualify as discretionary bonuses excluded by the Act from the regular rate, or fall within any other statutory exclusion. Accordingly, your employer must include these incentive bonus payments, in addition to each employee's base hourly wage, in the regular rate used to calculate overtime, as described below.

BACKGROUND

You represent that your employer operates in the waste management industry and pays its employee drivers a rate of $12.00 per hour. Based on the practices described, we presume that your employer classifies its drivers as non-exempt and subject to the requirements of sections 6 and 7 of the Act, and, as a result, pays them at least the minimum wage for all hours worked and overtime premiums for all hours worked over 40 in a workweek.[1] In addition to this base hourly wage and overtime premium, drivers can earn additional compensation pursuant to a "Safety, Job Duties, and Performance" bonus plan. Under this plan, an employee can earn supplemental performance-based bonuses each pay period that, if earned, apply to all hours worked in that pay period.

Your employer's bonus plan uses detailed criteria and one or more formulas both to determine whether a bonus is earned and to calculate the hourly bonus amount each employee earns. The plan rewards an employee's punctuality, attendance, consistency in completing daily safety tasks,

[1] You did not request—and so this letter does not provide—an opinion on whether these drivers qualify for the overtime exemption in 29 U.S.C. § 213(b)(1) (exempting employees from overtime pay requirements based on certain motor carrier activities conducted in interstate commerce).

driving safety, compliance with traffic laws, proper attire, and performance efficiency.[2] The maximum bonus amount is $9.50 per hour. We assume the employees receive the bonus plan information before performing the work.

Upon applying the bonus plan's criteria, your employer pays the bonus described above, along with the base hourly wages for each pay period. Your employer does not, however, include the bonus payments in each employee's regular rate for purposes of calculating overtime premiums. Instead, your employer calculates all overtime premiums owed using only each employee's $12.00 base hourly rate.

GENERAL LEGAL PRINCIPLES

The FLSA requires that employers pay at least the federal minimum wage for all hours worked and overtime pay "at a rate not less than one and one-half times the regular rate at which [the employee] is employed" to all non-exempt employees for all hours worked over 40 hours in a workweek. 29 U.S.C. §§ 206, 207(a)(1). The "regular rate" includes "all remuneration for employment paid to, or on behalf of, the employee," with limited exceptions. *See id.* § 207(e).

"[T]he rule for determining the regular rate of pay is to divide the wages actually paid by the hours actually worked in any workweek[.]" *Bay Ridge Operating Co. v. Aaron*, 334 U.S. 446, 459–60 (1948); *see also* 29 C.F.R. § 778.109. First, the employer must total the employee's "straight-time" earnings *actually paid* for that workweek, all remuneration less any amounts excluded under section 7(e). Then, the employer must total all the hours *actually worked* in that same workweek. Once the straight-time earnings and hours worked are ascertainable, "the determination of the regular rate becomes a matter of mathematical computation[.]" Bay *Ridge*, 334 U.S. at 461 (citations and quotes omitted).

To calculate the regular rate, the employer must divide the total straight-time earnings by the total hours worked in that same workweek. Then, the employee's overtime premium is calculated by dividing the regular rate in half (yielding the "half-time" rate) and multiplying that amount by the FLSA overtime hours worked to obtain the FLSA overtime premium pay due for the workweek. *See* 29 C.F.R. § 778.110. Of relevance to your request, section 7(e)(3) of the Act permits an employer to exclude from the regular rate "[s]ums paid in recognition of services performed during a given period" if "both the fact that payment is to be made and the amount of the payment are determined at the sole discretion of the employer at or near the end of the period and not pursuant to any prior contract, agreement, or promise causing the employee to expect such payments

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[2] The bonus plan criteria also provides for adjustments for the "[a]ctual cost of repair or replacement" if there is "[v]ehicle or property damage" when determining whether or to what extent a bonus might be earned. There is no indication in the materials submitted that any bonus plan criteria ever reduces a driver's base hourly rate. Business costs, however, cannot be passed along to an employee to the extent that doing so (whether through payroll deduction or otherwise) results in an underpayment of the minimum wage or an employee's overtime premium pay. *See Brennan v. Veterans Cleaning Serv., Inc.*, 482 F.2d 1362, 1369–70 (5th Cir. 1973) (citing 29 C.F.R. § 531.35 and holding that the FLSA prohibits deductions from employees' pay to cover damages to a company vehicle to the extent such deductions reduce employee's pay below the minimum wage).

regularly[.]" 29 U.S.C. § 207(e)(3). Such a payment is often termed a "discretionary" bonus. *See* 29 C.F.R. § 778.211.

OPINION

Based on the specific facts described in your letter, the employer must include the bonus payments in the regular rate of pay in any workweek for which they are earned, because such payments are incentives and do not qualify as a discretionary bonus or meet any other section 7(e) exclusion. Accordingly, the employer has failed to pay in full the overtime premium—i.e., the "half-time" premium—to employees who received the safety, job duties, and performance bonus.

A. Additional incentive bonus payments must be included in the regular rate.

Section 7(e)(3) of the FLSA requires that three conditions be satisfied for a payment to qualify as an excludable discretionary bonus: (1) the fact and amount of the payment must be "determined at the sole discretion of the employer"; (2) the employer's determination must occur "at or near the end of the period" when the employee's work was performed; and (3) the payment must not be made "pursuant to any prior contract, agreement, or promise causing the employee to expect such payments regularly[.]" 29 U.S.C. § 207(e)(3). Here, the bonus payments are not discretionary because, although the decision to offer the bonuses and on what terms was initially at the employer's discretion, the fact and amount of such payments are not made at the "sole discretion of the employer at or near the end of the period" in which the work is performed. *Id.*; 29 C.F.R. § 778.211(a). Rather, the amount of the bonus is calculated using a predetermined plan to incentivize certain work performance. Thus, regardless of whether the plan used by the employer to calculate any bonus payments constitutes a prior contract, agreement, or promise, the first two statutory requirements of an excludable discretionary bonus are not satisfied.

The employer's plan sets forth criteria such that, once met, the corresponding amount of the bonus is quantifiable under the plan and earned by the eligible employee. Thus, because the policy automatically triggers the bonus upon meeting the criteria, the employer has effectively "abandoned" its discretion with respect to the fact and amount of the payment. *See* 29 C.F.R. § 778.211(b) ("If the employer promises in advance to pay a bonus, he has abandoned his discretion with regard to it."). Moreover, although opinions may differ when deciding whether a particular criterion is satisfied (*e.g.*, whether a vehicle was returned in "clean" condition), such differences do not change the non-discretionary nature of the payment because it is not subject to the *sole* discretion of the employer—as eligibility for, and the amount of, the bonus are based on terms predetermined before performance. *See* 29 U.S.C. § 207(e)(3); 29 C.F.R. § 778.211(b) (stating that abandonment of discretion as to "the amount of the bonus though not with regard to the fact of payment," results in a non-discretionary bonus); *see also* WHD Opinion Letter FLSA2004-11 at 3 (Sept. 21, 2004) (explaining that where bonus "criteria [are] tied to productivity in any way and [are] not at the sole discretion of the employer," the resulting bonus is non-discretionary and must be included in the regular rate). Accordingly, the incentive bonus payments, as described, do not meet the criteria of a discretionary bonus under section 7(e)(3), nor any other statutory exclusion from the regular rate. As such, the payments must be included in the employees' regular rate used to calculate overtime premiums. *See* 29 C.F.R. § 778.211(c); *see also id.* § 778.208.

Moreover, because the bonus plan you describe is meant to induce employees to meet certain performance metrics, and foreknowledge is a critical component of incentivizing employees to perform, we assume that your employer communicates the requirements of this bonus to the employees before any work is performed. This foreknowledge further supports the bonus being understood as a non-discretionary bonus that must be included in the regular rate of pay. *See* 29 C.F.R. § 778.211(c) ("Bonuses which are announced to employees to induce them to work more steadily or more rapidly or more efficiently . . . are regarded as part of the regular rate of pay.").

B. Overtime premium pay should be calculated using one half of an employee's regular rate of pay for the relevant workweek.

Having established that the employer must include the bonus in the regular rate of pay, we turn to how to calculate overtime premiums properly for the employees described in your request. Here, the employer calculates the hourly bonus such that, even though the amount is not ascertainable until the completion of the pay period, the employer can allocate the bonus based on the hours worked in each of the relevant workweeks and calculate any overtime premium pay due for each separate workweek.

Your letter describes an employee who works 50 hours in a workweek, is paid a base hourly wage of $12.00, and also receives $9.50 per hour in bonuses ($1.50 for efficiency and $8.00 for safety/performance) for all hours worked. This results in a regular rate of $21.50 per hour. You correctly concluded that the employee was due $21.50 for all hours worked up to 40 and $32.25 (1.5 × $21.50) for each overtime hour.

You state: "By excluding these bonuses, the company pays overtime at $18.00 ($12.00 × 1.5), resulting in a shortfall of $14.25 per overtime hour ($32.25 - $18.00)[.]" However, this calculation overlooks that, in your hypothetical, the employee received the $9.50 bonus for all 50 hours worked, including each of the 10 overtime hours, in addition to the $12.00 wage. The employer actually paid $27.50 for each overtime hour: $21.50 in straight-time earnings plus a $6.00 premium. Thus, the correct overtime shortfall is $4.75 per hour, not $14.25.

By way of another example:

James earns a base hourly rate of $12.00 per hour and works a total of 50 hours in a workweek in which, based on the predetermined incentive terms, the employer pays an additional $5.60 per hour for all hours worked as a non-discretionary bonus. His total straight-time earnings are $880.00 ((50 hours × $12.00) + (50 hours × $5.60)).[3] *His regular rate for the workweek is therefore $17.60 ($880.00 ÷ 50 hours) and the half-time rate is $8.80 ($17.60 × 0.5). Thus, he is entitled to an additional $8.80 per hour for each overtime hour worked for a total overtime premium of $88.00 ($8.80 × 10 overtime hours), increasing his total wages to $968.00 ($880.00 (straight-time earnings for all hours worked) + $88.00 (half-time due for all hours worked over 40 per workweek)).*

Notably, employers may structure bonuses to require employees to meet certain conditions, including adherence to safety protocols, codes of conduct, or performance targets, consistent with

[3] Alternatively, an employer would reach the same result if it structured this equation for hourly-based pay components using the distributive property: 50 hours × ($12.00 + $5.60) = $880.00.

the requirements of the FLSA. Such bonus plans may rely on a variety of factors or criteria such that the amount of an employee's bonus ultimately earned may vary from workweek to workweek. But if a bonus plan neither satisfies the requirements of 29 U.S.C. § 207(e)(3), nor fits within another statutory exclusion, any bonus payment made must be included in the employee's regular rate for overtime purposes. Employers must heed to these core principles, imbued throughout the Act, when structuring pay components to achieve business objectives in a legally compliant manner.

This letter is an official interpretation of the governing statutes and regulations by the Administrator of the Wage and Hour Division of the United States Department of Labor for purposes of the Portal-to-Portal Act. *See* 29 U.S.C. § 259. This interpretation may be relied upon in accordance with section 10 of the Portal-to-Portal Act, notwithstanding that after any such act or omission in the course of such reliance, the interpretation is "modified or rescinded or is determined by judicial authority to be invalid or of no legal effect." *Id.*

We trust that this letter is responsive to your inquiry.

Sincerely,

Andrew B. Rogers
Administrator

***Note: The actual name(s) was removed to protect privacy in accordance with 5 U.S.C. § 552(b)(6).** You represent that you do not seek this opinion for any party that the Wage and Hour Division (WHD) is currently investigating or for any litigation that commenced prior to your request. This opinion is based exclusively on the facts and circumstances described in your request and is given based on your representation, express or implied, that you have provided a full and fair description of all the facts and circumstances that would be pertinent to our consideration of the question presented. The existence of any other factual or historical background not contained in your letter might require a conclusion different from the one expressed herein.

FLSA2025-04

September 30, 2025

Dear **Name***:

This letter responds to your request for an opinion addressing whether "emergency pay" provided to you and other firefighters in your city can be excluded from the regular rate of pay when calculating overtime premiums under section 7(e) of the Fair Labor Standards Act (FLSA) or, alternatively, how to include this payment in the regular rate.

It is our opinion that, under the circumstances presented and limited to the specific facts set forth in the request, the "emergency pay" is not excludable from the regular rate of pay because the fact and amount of the payment are not within the sole discretion of the employer at or near the end of the work period, and the pay does not otherwise fit within a statutory exclusion. Accordingly, the employer at issue should include "emergency pay" earned for hours worked within the regular rate for purposes of overtime premium calculations using the method described below.

This opinion is based exclusively on the facts as presented below that you provided to the Department and may not apply to different facts in this or other situations.

BACKGROUND

You describe yourself as a firefighter/paramedic employed by a city government in Texas. The city has a written policy for emergency pay through which—in relevant part—firefighters and certain other non-exempt employees are paid a premium payment of one half the employee's regular hourly rate of pay, which we assume means an employee's base or usual hourly rate, for every hour worked during an "emergency period." The city's policy defines emergency periods as periods when, due to a disaster or emergency declaration as defined by the city, only some "designated emergency employees" must work. You state that although employee job duties "substantially remain the same" during certain emergency pay periods, "the extreme weather environment makes those duties more likely to cause physical hardship" for firefighters.

You assert that the emergency pay at issue should be included in the regular rate of pay used to calculate employee overtime premiums on the basis that it does not fall within any of the statutory exclusions from the regular rate provided in section 7(e) of the FLSA. *See* 29 U.S.C. § 207(e). Additionally, you assert that, as to firefighters specifically, the emergency pay constitutes "hazard pay," which, in your understanding, should be included in the regular rate.

GENERAL LEGAL PRINCIPLES

The FLSA requires payment "at a rate not less than one and one-half times the regular rate at which [the employee] is employed" to all non-exempt employees for all hours worked over 40 hours in a workweek. 29 U.S.C. § 207(a)(1). The "regular rate" must include "all remuneration for employment paid to, or on behalf of, the employee," and must reflect all payments earned during the workweek, exclusive of overtime payments. *Id.* at § 207(e); *Bay Ridge Operating Co. v. Aaron*, 334 U.S. 446, 461 (1948); *see also Madison v. Res. for Human Dev., Inc.*, 233 F.3d 175, 187 (3d Cir. 2000) ("[T]here is a statutory presumption . . . that remuneration in any form is included in the regular rate calculation.").

The regular rate is subject to eight statutory exclusions provided in section 7(e) of the FLSA. 29 U.S.C. § 207(e). Relevant to this letter, section 7(e)(3) permits an employer to exclude from the regular rate "sums paid in recognition of services performed during a given period" if "both the fact that payment is to be made and the amount of the payment are determined at the sole discretion of the employer at or near the end of the period and not made pursuant to any prior contract, agreement, or promise causing the employee to expect such payments regularly." *Id*. at § 207(e)(3); *see also* 29 CFR 778.211. Such a payment is often termed a "discretionary bonus."

Additionally, sections 7(e)(5), (6), and (7) of the FLSA provide that certain premium payments made by employers for work in excess or outside of specified daily or weekly periods or on certain special days are regarded as overtime premiums which may be excluded from an employee's regular rate of pay. *See* 29 U.S.C. § 207(e)(5)–(7). However, "extra compensation provided by premium rates other than those described in the statute," such as "nightshift differentials" and "premiums paid for hazardous, arduous[,] or dirty work," "cannot be treated as overtime premiums." 29 CFR 778.207. When such premiums are paid, they must be included in a non-exempt employee's regular rate of pay. *Id*.

OPINION

Based on the specific facts described in your letter, the emergency pay at issue does not qualify as a discretionary bonus that may be excluded from an employee's regular rate of pay. The emergency pay also does not fall under any other exclusion from the regular rate of pay under section 7(e) of the FLSA. Accordingly, under the facts you provided, in workweeks when the city pays emergency pay, the emergency pay must be included when determining the regular rate of pay used to calculate employee overtime premiums.

The FLSA requires that three conditions be satisfied for a payment to qualify as an excludable discretionary bonus: (1) the fact and amount of the payment must be "determined at the sole discretion of the employer"; (2) the employer's determination must occur "at or near the end of the period" when the employee's work was performed; and (3) the payment must not be made pursuant to "any prior contract, agreement, or promise" causing employees to expect such payments regularly. 29 U.S.C. § 207(e)(3). Here, regardless of whether the city's policy would constitute a prior contract, agreement, or promise, the first two conditions are not satisfied. Although the existence and terms of when emergency pay is available may be at the employer's discretion, the emergency pay at issue is not "determined at the sole discretion of the employer" once the employee has performed the work under those terms. Specifically, the policy leaves no discretion as to whether to provide emergency pay during an emergency period when emergency work is performed, nor does it leave discretion regarding the amount of the payment as the amount is set at one half of the employee's base hourly rate of pay. Moreover, the fact and amount of the emergency pay are determined well before the emergency work is performed—further evidence that the payment is non-discretionary in nature. *Id*. Accordingly, the emergency pay, as described, does not meet the criteria of a discretionary bonus under section 7(e)(3).

Similarly, the emergency pay under the specific facts described in your letter also does not qualify as an excludable overtime premium under sections 7(e)(5), (6), or (7) for the following reasons:

- The emergency pay is not excludable under section 7(e)(5) because it is not contingent upon the employee working in excess of any particular amount of hours, *i.e.*, working beyond 8 hours in a day, 40 hours in a workweek, or the employee's "normal working hours or regular working hours." 29 U.S.C. § 207(e)(5).

- The emergency pay is not excludable under section 7(e)(6) because it is not contingent upon the work being performed "on Saturdays, Sundays, holidays, or regular days of rest, or on the sixth or seventh day of the workweek." 29 U.S.C. § 207(e)(6). The emergency periods described in the city's policy may or may not fall on such "special days," and, importantly, the emergency pay is not limited to or paid because of such days.

- The emergency pay is not excludable under section 7(e)(7) because, regardless of whether the city's policy would constitute an employment contract, the pay is not contingent upon the work being performed outside "the basic, normal, or regular workday … [or] workweek" of the employee. 29 U.S.C. § 207(e)(7).

Rather, based upon your representations, we agree with you that the emergency pay does not qualify as an excludable overtime premium. As such, the emergency pay should be included in the regular rate of pay used to calculate overtime premiums for any non-exempt city employees who receive such pay.

To determine the FLSA's overtime premium pay, the employer first must calculate the employee's regular rate. The regular rate is calculated on a workweek-by-workweek basis.[1] "The rule for determining the regular rate of pay is to divide the wages actually paid by the hours actually worked in any workweek". *Bay Ridge Operating Co.*, 334 U.S. at 460–61; *see also Overnight Motor Transp. Co. v. Missel*, 316 U.S. 572, 580 (1942) ("Wage divided by hours equals regular rate").[2]

First, the employer must total the employee's "straight-time" earnings (except section 7(e) statutory exclusions) *actually paid* for that workweek. Then, the employer must total all the hours *actually worked* in that same workweek. Once the straight-time earnings and hours worked are ascertainable, "the determination of the regular rate becomes a matter of mathematical computation". *Bay Ridge Operating Co.*, 334 U.S. at 461 (citations and quotes omitted). To calculate the regular rate, the employer must divide the total straight-time earnings by the total hours worked. Finally, to obtain the overtime premium owed for that workweek, the employer

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[1] Section 7(k) of the FLSA provides a partial overtime exemption for any employee of a public agency engaged in fire protection activities or any employee engaged in law enforcement activities. *See* 29 U.S.C. 207(k). Under this provision, whether overtime pay is owed may be determined based on a "work period" of 7 to 28 consecutive days. Section 7(k) impacts the determination of *whether* overtime pay is due and therefore does not impact this opinion letter—which concerns how to calculate the regular rate when overtime pay *is* due.

[2] You asked whether overtime could be determined in accordance with 29 CFR 778.115. The regular rate computation as described here, and in the example provided below, are first principles. The provision at 29 CFR 778.115, on the other hand, is an illustration that would produce the same result.

must divide the regular rate in half and multiply that amount, per hour, by all overtime hours worked.

By way of example:

> John earns a base hourly rate of $20.00 per hour and works a total of 50 hours in a workweek, 20 hours of which are during emergency pay hours for which he receives a premium of one-half his base hourly rate. His total straight-time earnings would be (50 hours × $20) + (20 hours × $20 × 0.5) = $1,200. His regular rate for the workweek would therefore be ($1,200 ÷ 50 hours) = $24.00. Thus, he would be entitled to an additional $12 for each overtime hour worked ($24 × 0.5), for a total of $120 ($12 × 10 overtime hours), and a grand total of $1,320.

Finally, you asked whether, as to firefighters, the emergency pay would qualify as "hazard pay" given that firefighters' work during emergency periods is "more likely to cause physical hardship." The Department need not address this question because it is unnecessary to determining whether the "emergency pay" is included in the regular rate.

We trust that this letter is responsive to your inquiry.

Sincerely,

James R. Macy
Acting Administrator

***Note: The actual name(s) was removed to protect privacy in accordance with 5 U.S.C. § 552(b)(6).** You represent that you do not seek this opinion for any party that the Wage and Hour Division (WHD) is currently investigating or for any litigation that commenced prior to your request. This opinion is based exclusively on the facts and circumstances described in your request and is given based on your representation, express or implied, that you have provided a full and fair description of all the facts and circumstances that would be pertinent to our consideration of the question presented. The existence of any other factual or historical background not contained in your letter might require a conclusion different from the one expressed herein. This is an official ruling for purposes of the Portal-to-Portal Act, 29 U.S.C. § 259.

U.S. Department of Labor

Wage and Hour Division
Washington, D.C. 20210

FLSA2026-1

January 5, 2026

Dear **Name***:

This letter responds to your request for an opinion regarding your reclassification from exempt to non-exempt status despite your belief that you continue to satisfy the educational and job duties criteria of an exempt "learned professional" under section 13(a)(1) of the Fair Labor Standards Act (FLSA or Act).

It is our opinion that, under the circumstances presented, the discontinuation of supervisory responsibilities would not preclude your classification as an exempt learned professional, although your change from being paid on a salary basis to being paid on an hourly basis would likely defeat the exemption. Moreover, even if you do meet the tests for the learned professional exemption, your employer may nonetheless choose to classify you as non-exempt.

BACKGROUND

You represent that you are employed as a Licensed Clinical Social Worker (LCSW) for a healthcare organization. Since receiving your professional license in 2018, you state that your employer has classified you as a "salaried (exempt)" employee.[1] You assert that your core job duties include: clinical assessments and psychosocial evaluations; treatment planning and documentation; participation in interdisciplinary care teams; crisis intervention and discharge planning; and consistent application of professional discretion and judgment in clinical decisions. In 2020, you became a supervisor and assumed supervisory responsibilities.

You state that your employer has recently undergone an internal restructuring and advised that you would be reclassified to "hourly (non-exempt)," and that your supervisory role will be discontinued. Consequently, you state that your employer has decided to reclassify your position from exempt to non-exempt on the basis that you are no longer a supervisor. You assert that your role continues to be clinical and aligned with the FLSA's exemption for learned professionals, as defined in 29 C.F.R. § 541.301. Although you have not provided any information on the academic prerequisites for your position, you state that you are a LCSW in the state of Utah, which we note requires a master's or doctoral degree in social work to qualify for professional licensure. *See* Utah Code Ann. § 58-60-205(1)(c).

[1] Although employees and employers often use the terms "salaried" and "exempt" interchangeably, they are not synonyms. Payment on a salary basis alone does not make an employee exempt from the minimum wage or overtime provisions of the Act; an employee also generally must meet a salary level test and meet various duty requirements. Indeed, while the FLSA's exemption for learned professional employees generally requires that exempt employees receive a salary, not all exemptions do. Moreover, the Act does not prohibit paying non-exempt employees a salary, as long as the proper overtime premium is also paid.

You have asked the Division to address whether your role meets the criteria for the FLSA's learned professional exemption and, if so, whether your employer is nevertheless permitted to pay you on an hourly basis and reclassify you as a non-exempt employee.

GENERAL LEGAL PRINCIPLES

The FLSA generally requires covered employers to pay employees at least the federal minimum wage (currently $7.25 an hour) for all hours worked and overtime premium pay of at least one-half times the employee's regular rate of pay for all hours worked over 40 in a workweek. *See* 29 U.S.C. §§ 206(a), 207(a). These wage and hour requirements are minimum standards, a federal floor, and the Act does not prohibit an employer from paying more than the federal minimum wage or establishing a more generous policy for overtime pay. *See* 29 U.S.C. § 218(a).

The Act includes numerous exemptions from its wage and hour requirements. Of relevance to your request, section 13(a)(1) of the FLSA provides an exemption from both minimum wage and overtime pay requirements for any employee employed in a "bona fide executive, administrative, or professional capacity." 29 U.S.C. § 213(a)(1). Regulations which define and delimit these exemptions are set forth at 29 C.F.R. Part 541, including compensation and duties criteria for exempt "learned professionals" in Subparts D and G.

The learned professional exemption requires that the employee's "primary duty" must involve the performance of "work requiring advanced knowledge" "in a field of science or learning" which is "customarily acquired by a prolonged course of specialized intellectual instruction." 29 C.F.R. § 541.301(a). By contrast, the "executive employee" exemption applies to those who customarily and regularly direct the work of two or more other full-time employees or their equivalent, among other requirements. *See* 29 C.F.R. §§ 541.100, 541.104.

OPINION

Based on the facts provided in your letter, it is likely that your primary duty necessitates the requisite advanced knowledge and academic requirements to qualify you as an exempt learned professional. 29 U.S.C. § 213(a)(1). WHD has previously explained that "Social Workers with master's degrees who work in the field of their degree[] will generally meet" the duties requirements for exemption, WHD Opinion Letter FLSA2005-50 (Nov. 4, 2005), and we assume, based on licensing requirements for LCSWs in your state (Utah), that your professional license similarly requires that you hold at least a master's degree in a relevant field. *Cf. Solis v. Washington*, 656 F.3d 1079, 1088 (9th Cir. 2011) (holding that "[a]n educational requirement that may be satisfied by [bachelor's] degrees in fields as diverse as anthropology, education, criminal justice, and gerontology" was not "sufficiently specialized and relate[d] directly" to the social work positions at issue for purposes of the learned professional exemption). Notably, the possession of a professional license and master's degree does not alone establish that you are an exempt learned professional; additionally, as part of your primary duty, you must perform work requiring that advanced knowledge. *See* 29 C.F.R. § 541.301(a)(1), (b). It appears from the description of your core job duties—*e.g.*, making clinical assessments and psychosocial evaluations, planning treatments, participating in interdisciplinary care teams, among others—that you are performing work which requires your advanced knowledge "in a field of science or learning."

However, for the learned professional exemption to apply, an employee must additionally meet the compensation requirements. *See* 29 C.F.R. §§ 541.300(a); 541.600; 541.602. Based on your letter, we have assumed that your prior pay structure met the compensation requirements set forth in detail at 29 C.F.R. §§ 541.600 and 541.602.[2] But if, as your letter suggests, your compensation has changed to hourly, you would likely no longer meet the compensation criteria, and would no longer qualify for the exemption, even if your duties remain the same. Your letter does not contain enough information about your compensation to determine whether these requirements are met.[3]

Ultimately, even if all the criteria for an FLSA exemption are met, it is the employer—not the employee—that claims the exemption. In other words, the Act does not require an employer to classify as exempt an employee who meets the requirements of an exemption. Rather, employers have the discretion to classify such employees as non-exempt as long as they pay at least the federal minimum wage for all hours worked and the overtime premium for work in excess of 40 hours in a workweek. Employers may decide not to classify any qualified employees as exempt or only a subset of employees (including managers, particular grades or compensation levels, corporate office location, and others). Please note that, although non-exempt employees are subject to certain recordkeeping requirements which do not apply to exempt individuals employed in an executive, administrative, or professional capacity, *see* 29 C.F.R. § 516.3, an employer may decide to provide its non-exempt employees with pay structures, employment benefits, and scheduling flexibility similar to those it provides to its exempt employees.

Finally, you also ask whether your employer is permitted to reclassify an exempt employee as non-exempt solely due to a change in organizational structure. The FLSA only prohibits the misclassification of a non-exempt employee as an exempt one. Thus, employers can and do make lawful business decisions to not apply an exemption. There is no indication based on the facts provided that this action violates the Act, assuming that your wages were calculated properly for the workweek in which the transition occurred. Although your employer retains the prerogative to classify you as a non-exempt employee, the analysis above may help you in discussing the nature and terms of your employment with your employer.

This letter is an official interpretation of the governing statutes and regulations by the Administrator of the Wage and Hour Division of the United States Department of Labor for purposes of the Portal-to-Portal Act. *See* 29 U.S.C. § 259. This interpretation may be relied upon in accordance with section 10 of the Portal-to-Portal Act, notwithstanding that after any such act or omission in the course of such reliance, the interpretation is "modified or rescinded or is determined by judicial authority to be invalid or of no legal effect." *Id.*

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[2] Please note that due to ongoing litigation concerning an update to the salary level test issued in 2024 that was subsequently vacated, *see Texas & Plano Chamber of Commerce v. U.S. Dep't of Labor*, 756 F. Supp. 3d 361 (E.D. Tex. 2024), the Department is currently enforcing a $684 per week salary level requirement.

[3] To satisfy the learned professional exemption, an employer must pay the employee at or above the regulatory threshold (referenced above) on a "salary basis," defined at 29 C.F.R. § 541.602, a "fee basis," defined at 29 C.F.R. § 541.605, or a time-based rate that includes a minimum guarantee that bears a reasonable relationship (*e.g.*, a ratio of 1.5-to-1 or less) to the employee's usual time-based earnings. *See* 29 C.F.R. § 541.604(b); [WHD Opinion Letter FLSA2018-25 (Nov. 8, 2018)] (stating that a ratio of 1.8-to-1 is impermissible).

We trust that this letter is responsive to your inquiry.

Sincerely,

Andrew B. Rogers
Administrator

***Note: The actual name(s) was removed to protect privacy in accordance with 5 U.S.C. § 552(b)(6).** You represent that you do not seek this opinion for any party that the Wage and Hour Division (WHD) is currently investigating or for any litigation that commenced prior to your request. This opinion is based exclusively on the facts and circumstances described in your request and is given based on your representation, express or implied, that you have provided a full and fair description of all the facts and circumstances that would be pertinent to our consideration of the question presented. The existence of any other factual or historical background not contained in your letter might require a conclusion different from the one expressed herein.

FLSA2026-5

May 28, 2026

Dear **Name***:

This letter responds to your request for an opinion regarding whether an employee exempt pursuant to section 13(a)(1) of the Fair Labor Standards Act (FLSA or Act) can perform additional work in a secondary, non-exempt role at an hourly rate, and if so, what, if any overtime implications arise.

It is our opinion that, under the circumstances presented, the performance of additional non-exempt work at an hourly rate is insufficient to alter the employee's exempt status under the FLSA as long as the employee's primary duty remains the performance of exempt work and the salary requirements continue to be met. As such, this arrangement does not intrinsically present overtime implications.

BACKGROUND

You represent that you are employed by an organization that is an academic medical center and operates as a non-profit acute care hospital. This hospital employs staff in various capacities, including in "Staff Nurse" and "Nursing Professional Development Specialist" (Specialist) positions.

The main functions of a Staff Nurse include formulating clinical decisions for patients utilizing a multi-dimensional plan of care with the nursing process, demonstrating respect for patient rights and privacy, serving as an advocate, assisting in orientation of new employees, and delegating tasks to other personnel. The main functions of a Specialist include identifying gaps in learning opportunities, designing educational programs, onboarding new staff, advancing the professional development of all staff, and conducting ongoing competency processes. The Specialist might perform the same interventions as a Staff Nurse, including educating and assisting the latter, but a Specialist does not replace the Staff Nurse as a patient's primary nurse. Nevertheless, a Specialist exercises significant autonomy and applies judgment on when and where to provide support to Staff Nurses.

You indicate that the employer pays Staff Nurses on an hourly basis, plus additional compensation in the form of night and weekend differentials and bonuses for picking up shifts. The employer classifies Staff Nurses as non-exempt and, as such, these employees are eligible for overtime compensation. In contrast, the employer classifies Specialists as exempt from minimum wage and overtime compensation; pays them a salary, currently approximately $4,000 per bi-weekly pay period; and affords no additional compensation for hours worked over 40 in a workweek in the Specialist role. You explain that Specialists may, and often do, pick up shifts in the Staff Nurse role. Specialists typically pick up one, and occasionally two, 12-hour shifts as Staff Nurses per week on weekends in addition to their approximately 40 hours worked Monday through Friday in the Specialist role. Thus, these shifts typically make up about 23 percent, and occasionally about 38 percent, of the Specialists' total hours worked per week. Based on information you provided, the employer pays Specialists an hourly rate for such additional work, and the hourly rate is approximately equivalent to the Specialist's guaranteed weekly salary divided by 40 hours.

You ask whether an employer can employ an individual in both an exempt capacity (*i.e.,* a Specialist) and non-exempt capacity (*i.e.*, Staff Nurse). You also ask what overtime implications may arise if an individual is employed in both exempt and non-exempt roles.

GENERAL LEGAL PRINCIPLES

A. The Act

The FLSA generally requires covered employers to pay employees at least the federal minimum wage ($7.25 an hour) for all hours worked and overtime at a rate of not less than one and one-half times the employee's regular rate of pay for all hours worked over 40 in a workweek. *See* 29 U.S.C. §§ 206(a), 207(a). These wage and hour requirements are minimum standards, and the Act does not prohibit an employer from establishing more generous terms. *See* 29 U.S.C. § 218(a).

The FLSA includes several exemptions from its wage and hour requirements, including section 13(a)(1),[1] which exempts from both the minimum wage and overtime requirements any employee employed in a "bona fide executive, administrative, or professional capacity." 29 U.S.C. § 213(a)(1). When construing or applying the Act, the Division must give the text a "fair … interpretation." *Encino Motorcars, LLC v. Navarro*, 584 U.S. 79, 88–89 (2018) (cleaned up); *see also CTS Corp. v. Waldburger*, 573 U.S. 1, 12 (2014); WHD Op. Ltr. FLSA2026-4 (Jan. 5, 2026); WHD Op. Ltr. FLSA2021-3 (Jan. 15, 2021). Accordingly, WHD applies a "fair reading" standard to all FLSA provisions, including the section 13(a)(1) exemption. A fair reading is "neither narrow nor broad," *Dep't of Lab. v. Bristol Excavating, Inc.*, 935 F.3d 122, 135 (3d Cir. 2019), and requires the Division to "interpret each FLSA exemption the same way [it] would any other statutory provision—with full attention to its text." *Munoz-Gonzalez v. D.L.C. Limousine Serv.*, 904 F.3d 208, 216 (2d Cir. 2018).

B. Requirements of the Section 13(a)(1) Exemption

Though the section 13(a)(1) exemption from both minimum wage and overtime pay requirements can be claimed[2] for any employee employed in a "bona fide executive, administrative, or professional capacity[,]" the FLSA does not define the terms "executive," "administrative," or "professional." Rather, the Act directs the Secretary of Labor to define and delimit those terms. Pursuant to explicit rulemaking authority, the Secretary, through the Administrator of the Wage and Hour Division, has issued regulations to define and delimit the section 13(a)(1) exemption, including compensation and duties criteria, since 1938. *See* 29 U.S.C. § 213(a)(1); 29 C.F.R. Part 541; *see also* 3 Fed. Reg. 2518 (Oct. 20, 1938); Secretary's Order 01-2014 (Dec. 19, 2024), 79 Fed. Reg. 77527 (Dec. 24, 2014).

[1] *See* section 13, subsection (a), paragraph (1) of the FLSA.

[2] *See* WHD Op. Ltr. FLSA2026-1 (Jan. 5, 2026) (explaining that even if all criteria for an FLSA exemption are met, it is the employer—not the employee—that claims the exemption).

1. Primary Duty

As explained in the regulations, for the section 13(a)(1) exemption to apply, an employee's "primary duty" must be the performance of exempt work. *See* 29 C.F.R. §§ 541.700, 541.702. The phrase "primary duty" means:

> [The] principal, main, major or most important duty that the employee performs. Determination of an employee's primary duty must be based on all the facts in a particular case, with the major emphasis on the character of the employee's job as a whole. Factors to consider when determining the primary duty of an employee include, but are not limited to, the relative importance of the exempt duties as compared with other types of duties; the amount of time spent performing exempt work; the employee's relative freedom from direct supervision; and the relationship between the employee's salary and the wages paid to other employees for the kind of non-exempt work performed by the employee.

29 C.F.R. § 541.700(a).

The regulation further provides that "the amount of time spent performing exempt work can be a useful guide in determining whether exempt work is the primary duty of an employee," and thus, an employee who spends more than 50 percent of his time performing qualifying exempt work will generally satisfy the primary duty requirement. *Id.* § 541.700(b). However, the regulation sets forth a more qualitative analysis, and thus, an employee's status cannot necessarily be inferred solely from time spent. *See id.* ("Employees who do not spend more than 50 percent of their time performing exempt duties may nonetheless meet the primary duty requirement if the other factors support such a conclusion").[3] Accordingly, for an employee to qualify for the exemption, "there is no strict percentage limitation on the performance of non-exempt work" as long as the employee's primary duty remains the performance of exempt work. 69 Fed. Reg. 22122, 22137 (Apr. 23, 2004).

2. Salary Basis and Level

In addition to the duties requirements, to qualify as exempt under section 13(a)(1), an employee must be compensated on a salary basis at a rate equaling or exceeding the level specified in the regulations. 29 C.F.R. § 541.602(a); *see generally* 29 C.F.R. Part 541, Subpart G.[4] The salary basis requirement is met "if the employee regularly receives each pay period . . . a predetermined amount constituting all or part of the employee's compensation, which amount is not subject to reduction because of variations in the quality or quantity of the work performed." 29 C.F.R. § 541.602(a). With limited exceptions, "an exempt employee must receive the full salary for any

[3] *See also* 29 C.F.R. § 541.700(a) ("Factors to consider when determining the primary duty of an employee include, but are not limited to, the relative importance of the exempt duties as compared with other types of duties; the amount of time spent performing exempt work; the employee's relative freedom from direct supervision; and the relationship between the employee's salary and the wages paid to other employees for the kind of nonexempt work performed by the employee.").

[4] The minimum salary level is $684 per week. *See* 29 C.F.R. § 541.600 (2020); *see also* 91 Fed. Reg. 27833–27837.

week in which the employee performs any work without regard to the number of days or hours worked." *Id*. Nevertheless, as discussed at length below, a salaried employee may receive additional compensation in most circumstances without losing the exemption, if the employee is guaranteed at least the minimum weekly-required amount paid on a salary basis. 29 C.F.R. § 541.604(a).

OPINION

Based on your representations and for present purposes, we assume that an employee working at the hospital solely as a Specialist would meet all the applicable duties, salary level, and salary basis requirements for an exempt employee pursuant to section 13(a)(1) of the FLSA and 29 C.F.R. Part 541.[5] Likewise, we also assume an employee working at the hospital solely as a Staff Nurse would not meet any of the requirements for a section 13(a)(1) exemption and, therefore, would be non-exempt.[6] We turn now to your question regarding the overtime implications if an otherwise-exempt Specialist performs additional, non-exempt work on an hourly basis.

A. Primary Duty Analysis

As explained above, if an employee performs work in both exempt (*e.g.*, Specialist) and non-exempt (*e.g.*, Staff Nurse) roles in the same workweek, the employee meets the duties requirements for an exemption if the employee's primary duty remains the performance of exempt work as defined in Part 541.

Based on the circumstances you describe, when an otherwise-exempt Specialist picks up one or occasionally two shifts per week in the Staff Nurse role, the employee's primary duty remains the performance of qualifying exempt Specialist work. In particular, the substantial majority of the employee's time (*i.e.*, approximately 40 hours per workweek) is spent in the Specialist role, a factor that generally satisfies the primary duty requirement. 29 C.F.R. § 541.700. The fact that the Specialist only picks up one or two 12-hour Staff Nurse shifts per week on weekends as a supplement to his work as a Specialist lends further support to our conclusion that the Specialist role remains the primary duty.

The main functions of the Specialist role, such as identifying gaps in learning opportunities, designing professional educational programs, and conducting ongoing competency processes, among others—as well as possessing and, more important, exercising the autonomy, flexibility, and discretion required to perform these functions—are also factors indicating that the Specialist would continue to satisfy the primary duty requirement. This is so even though, while providing educational support to staff, the Specialist may perform some of the same tasks (*e.g.*, patient interventions) as a Staff Nurse. *See* 29 C.F.R. § 541.703 (recognizing that exempt work might include otherwise non-exempt activities when the employee is performing them because they are "directly and closely related" to the archetypal exempt work described throughout Part 541); *cf.*

[5] As we recently explained and noted above, the employer may—but is not required to—take or claim the exemption. *See supra* note 1.

[6] Whether a nurse meets the duties test for the learned-professional exemption will generally depend at least in part on whether the nurse is of a type whose position requires a specialized advanced academic degree as a standard prerequisite for entry into the occupation. *See* 29 C.F.R. § 541.301(e)(2).

WHD Op. Ltr. FLSA2005-20 (Aug. 19, 2005) ("having some employees within the same job classification who perform the same duties[,] but who are paid on a different (hourly) basis, does not affect the status of any other exempt employees paid on a salary basis."). As a result, the employee would continue to satisfy the duties requirement for the exemption.[7]

B. Salary Level and Basis Analysis

Based on the information you provided, the Specialist's base pay—approximately $2,000 per week—exceeds the minimum salary-level requirement set forth at 29 C.F.R. § 541.600. In addition, we conclude that the Specialist's base pay structure meets the salary-basis requirement set forth in 29 C.F.R. 541.602(a). Section 541.602(a) provides an employee receives a "salary" if he is paid "a predetermined amount" "on a weekly[ ] or less frequent basis." 29 C.F.R § 541.602(a). The regulation requires that "[w]henever an employee works at all in a week, he must get his full salary for that week." *Helix Energy Sols. Grp. v. Hewitt*, 598 U.S. 39, 51 (2023) (cleaned up); 29 C.F.R § 541.602(a). Here, for each week, the employee receives the full Specialist salary, regardless of hours worked, for all work performed during the week in the Specialist role. Thus, based on the facts presented, the Specialist salary appears to satisfy 29 C.F.R. 541.602(a). *See Helix*, 598 U.S. at 52 (explaining that § 541.602(a) requires "what people ordinarily think being 'salaried' means").

In general, when an employer pays an employee on a salary basis under § 541.602(a), the employer may provide the employee with "*additional* compensation" without violating the salary-basis requirement, including "additional compensation based on hours worked for work beyond the normal workweek."[8] 29 C.F.R. § 541.604(a) (emphasis added) (providing a non-exclusive listing of examples); *see also* WHD Op. Ltr. FLSA2020-2 (Jan. 7, 2020) (explaining that additional payments for work performed beyond the normal workweek, such as work beyond the original scope, can be made without changing the employee's exempt status); WHD Op. Ltr. FLSA2005-20 (Aug. 19, 2005) (explaining that an employer may pay exempt employees an overtime premium or shift differential pay on an hourly basis without invalidating their otherwise-exempt status). "Such additional compensation may be paid on any basis (*e.g.*, flat sum, bonus payment, straight-time hourly amount, time and one-half or any other basis)." 29 C.F.R. § 541.604(a). Thus, the additional hourly compensation that a Specialist receives for work performed while picking up

[7] If, over time, all the work performed by an employee in both roles reflects a primary duty that, in fact, consists of activities that do not meet the duties requirements of Part 541, then the employer could not properly claim the exemption under section (a)(1) of the Act in any workweek. *See, e.g.*, WHD Op. Ltr. FLSA2005-29 (Aug. 26, 2005) (finding employees' primary duty to be the performance of their full-time, non-exempt work where the employees only took on the exempt role on a part-time basis). In that scenario, overtime would be computed based on the combined total remuneration and hours for both positions in accordance with 29 U.S.C. § 207 and 29 C.F.R. Part 778.

[8] We note that the FLSA does not *require* additional compensation beyond the predetermined salary based on the performance of additional or different work of any kind, whether voluntary or mandatory, by an employee exempt from overtime. *See, e.g.*, WHD Op. Ltr. FLSA2005-14 (Mar. 17, 2005).

some hourly shifts as a Staff Nurse does not violate the salary basis requirement or defeat the exemption.[9]

In conclusion, an employee in the circumstances you describe remains exempt from the Act's minimum wage and overtime requirements even though the employee performs some non-exempt work and receives additional hourly compensation for such work.

This letter is an official interpretation of the governing statutes and regulations by the Administrator of the Wage and Hour Division of the United States Department of Labor for purposes of the Portal-to-Portal Act. *See* 29 U.S.C. § 259. This interpretation may be relied upon in accordance with section 10 of the Portal-to-Portal Act, notwithstanding that after any such act or omission in the course of such reliance, the interpretation is "modified or rescinded or is determined by judicial authority to be invalid or of no legal effect." *Id.*

We trust that this letter is responsive to your inquiry.

Sincerely,

Andrew B. Rogers
Administrator

***Note: The actual name(s) was removed to protect privacy in accordance with 5 U.S.C. § 552(b)(6).** You represent that you do not seek this opinion for any party that the Wage and Hour Division (WHD) is currently investigating or for any litigation that commenced prior to your request. This opinion is based exclusively on the facts and circumstances described in your request and is given based on your representation, express or implied, that you have provided a full and fair description of all the facts and circumstances that would be pertinent to our consideration of the question presented. The existence of any other factual or historical background not contained in your letter might require a conclusion different from the one expressed herein.

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[9] Merely because that the employer opts to derive the hourly rate for the Staff Nurse work from the Specialist's salary—that satisfies § 541.602—for purposes of computing *additional* compensation—consistent with § 541.604(a)—does not call the salary or the employee's exempt status into question. Because there is no indication that a Specialist's underlying compensation is based on an hourly, daily, or shift rate, there is no need to further assess the guaranteed salary. *See* 29 C.F.R. § 541.604(b) (requiring a "reasonable relationship" between the guaranteed amount and the amount actually earned in a typical workweek where the employee's usual earnings are computed on an hourly, daily or shift basis); *Helix*, 598 U.S. at 46–47 (explaining applicability and requirements of § 541.604(b)); *see also* WHD Op. Ltr. FLSA2018-25 (Nov. 8, 2018) (applying the reasonable-relationship requirement from § 541.604(b) where it was undisputed that the employer began with an hourly rate, set a guaranteed predetermined amount based on that hourly rate, and then also paid that hourly rate for all additional hours worked beyond that time); WHD Op. Ltr. 2020-2 (Jan. 7, 2020) ("As the employee's *underlying* compensation is not computed on an hourly, daily, or shift basis, the reasonable relationship requirement does not apply") (emphasis added).

U.S. Department of Labor

Wage and Hour Division
Washington, DC 20210

FLSA2026-7

May 28, 2026

Dear **Name***:

This letter responds to your request for an opinion concerning whether an employer must consider time an employee spends traveling off-site voluntarily for a meal when determining whether a meal period is compensable under the Fair Labor Standards Act (FLSA or Act). Specifically, you ask whether time spent traversing an employer's premises and passing through a controlled access entry and exit is compensable under the Act when the employer allots employees a 30-minute meal period during which they are allowed to remain on the premises.

Based on the information you provided, it is our opinion that the time set aside for the meal period is long enough to allow you to use it on-site for this purpose and is an uninterrupted period during which you are relieved from duty for the purpose of eating or engaging in personal activities. An employee voluntarily forgoing this option to go off-site does not alter the analysis. Accordingly, the meal period your employer provides is bona fide pursuant to 29 C.F.R. § 785.19.

BACKGROUND

You represent that you are employed at a "large, secured facility with controlled access points and parking located a significant distance from work areas." We surmise that the secured facility and parking are part of a larger corporate campus. You state that your employer provides an unpaid 30-minute meal period, during which you have the option to leave the premises, or remain at the work site, "in which case no time is lost to walking or access delays." Nevertheless, based on the information in your request, because it takes 5 to 10 minutes to walk from your job site to the parking lot, with additional time to pass through the facility's security gates, and similar time is required upon your return, you state that some employees are left with only 10 to 15 minutes in their meal period. You feel that this creates a "coercive dynamic" which discourages employees from taking meal breaks off-site.

GENERAL LEGAL PRINCIPLES

The FLSA generally requires covered employers to pay all non-exempt employees at least the federal minimum wage for all hours worked. 29 U.S.C. § 206. In addition, the Act requires payment "at a rate not less than one and one-half times the regular rate at which [the employee] is employed" to all non-exempt employees for all hours worked in excess of 40 hours in a workweek. *Id.* § 207(a)(1). The amount of wages an employee is entitled to receive cannot be determined without knowing the number of hours worked. *See* 29 C.F.R. § 785.1.

The Act generally does not require employers to provide employees rest breaks or meal periods.[1] If such breaks are provided, however, Wage and Hour Division (WHD or Division) regulations explain when such time is compensable. The relevant regulation, first promulgated in 1955,[2] addresses the compensability of employees' mealtimes. It provides that "[b]ona fide meal periods are not worktime," and that to be bona fide the employee must be relieved from duty for the purposes of eating regular meals.[3] 29 C.F.R. § 785.19(a). Typically, "30 minutes or more is long enough for a bona fide meal period." *Id.* "It is not necessary that an employee be permitted to leave the premises" if the employee is "freed from duties during the meal period." *Id.* § 785.19(b).

The central issue in most meal break cases is whether the employees were required to "work" (as that term is used under the FLSA) during their meal period. Put another way, we evaluate whether employees *actually* were relieved from their work duties and tasks. Courts have generally adopted the "predominant benefit" test, under which time is compensable work time if it is predominantly for the employer's benefit, and non-compensable if it is predominantly for the employee's benefit. *See*, *e.g.*, *Reich v. S. New England Telecomms. Corp*., 121 F.3d 58, 64 (2d Cir. 1997) (citing *Skidmore v. Swift & Co*., 323 U.S. 134, 136–37 (1944) and *Armour & Co. v. Wantock*, 323 U.S. 126, 133 (1944)); *Leahy v. City of Chicago*, 96 F.3d 228, 230 n.2 (7th Cir. 1996). This requires a fact-intensive analysis that must be applied on a case-by-case basis.

The Act does not require absolute freedom for a break to be bona fide and non-compensable. An employer may place certain limitations or conditions upon a bona fide meal period without having to compensate employees for such time, and courts have agreed that employees need not be permitted to leave the premises to receive a bona fide meal period. For example, in *Ruffin v. MotorCity Casino*, 775 F.3d 807 (6th Cir. 2015), the Sixth Circuit ruled that meal breaks for casino security guards were not compensable under the FLSA because even though they were not permitted to leave the premises and were required to monitor their radios, they were otherwise free to eat and socialize. *See also Haviland v. Catholic Health Initiatives-Iowa, Corp*., 729 F. Supp. 2d 1038, 1062 (S.D. Iowa, 2010) (collecting cases showing that "substantial law supports a finding that merely requiring an employee to remain on the employer's premises does not convert meal break time into compensable working time"). These cases and others reinforce the Division's longstanding position that requiring an employee to remain on the employer's premises does not convert meal break time into compensable working time.

Consistent with the foregoing, we have explained that employees who during their meal periods were "restricted to a small lunchroom and [could] not . . . leave the building[,]" in order to maintain security and avoid theft, nevertheless received a bona fide meal period and were not entitled to compensation. *See* WHD Opinion Letter FLSA2004-7NA (Aug. 6, 2004). Indeed, we confirmed that merely because "the employees are not allowed to leave the premises and are otherwise

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[1] The Act requires employers to afford breaks in certain circumstances. For example, most nursing employees have the right to reasonable break time to express breast milk while at work; this right is available for up to one year after the child's birth. *See* 29 U.S.C. § 218d; *see also* WHD Fact Sheet #73: FLSA Protections for Employees to Pump Breast Milk at Work.

[2] The regulation was first promulgated in 1955 in 29 C.F.R. § 785.3(d), *see* 20 Fed. Reg. 9963, 9965 (Dec. 24, 1955), and subsequently moved to 29 C.F.R. § 785.19, *see* 26 Fed. Reg. 190, 192 (Jan. 11, 1961).

[3] Compensability of rest periods is addressed in 29 C.F.R. § 785.18.

slightly restricted in their activities during the meal period" did not transform the time into compensable hours worked. *Id.* In concluding that the meal period at issue did "not constitute compensable worktime[,]" WHD focused on the fact that "the employees [were] completely relieved from their duties, . . . allowed to take their meals uninterrupted by the employer, and [were] provided sufficient time to eat their meal."

OPINION

Based on the factual representations in your letter, the Division concludes that your employer provides a bona fide meal period consistent with 29 C.F.R. § 785.19 because you are relieved from your work duties during the 30-minute meal break, and the period is sufficient to allow you to use it for the purpose of eating a meal.

Subsection 785.19(b) expressly provides that for a meal period to be bona fide, it "is not necessary that an employee be permitted to leave the premises" if the employee is "freed from duties during the meal period." Thus, while your letter indicates that you believe that 30 minutes is insufficient time for an off-site meal due to the physical characteristics of the employer's facility (*e.g.*, distance to the parking lot and waiting to pass through security, among other things), you nevertheless have the option to leave the employer's premises during the meal period—which, as explained above, is not required by the Act.

As a number of courts have ruled and WHD has previously explained, the fact that an employee is required to eat his or her meal on the employer's premises or is minimally restricted in the activities they may perform does not convert this meal period into compensable time. Moreover, because the employer may lawfully require employees to remain on the premises for the meal period, the fact that an off-site meal may be difficult to undertake in the time provided does not affect whether you receive a bona fide meal period.

For the same reason, an employer is not obligated to exclude from a bona fide meal period, and to consider as compensable, time voluntarily spent to travel off-site to acquire or eat a meal or to otherwise extend the 30-minute meal period to accommodate time an employee may spend leaving and returning to his or her work area from off-site before and after the meal.[4]

Determining whether a meal break is bona fide also requires consideration of whether "work" was performed by the employee during the meal period. There is no indication in your request that your employer requires employees to work during a meal period when they are present at the worksite, and it appears that you are relieved from work responsibilities during that time. As such, you have discretion to use your meal period "for the purpose[] of eating regular meals" or for other personal matters consistent with 29 C.F.R. § 785.19(a) and (b).

This letter is an official interpretation of the governing statutes and regulations by the Administrator of the Wage and Hour Division of the United States Department of Labor for purposes of the Portal-to-Portal Act. *See* 29 U.S.C. § 259. This interpretation may be relied upon in accordance with section 10 of the Portal-to-Portal Act, "notwithstanding that after any such act

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[4] It is also important to remember that applicable state and local wage and hour laws may have rules and requirements that are more stringent than the FLSA's requirements.

or omission" in the course of such reliance, the interpretation is "modified or rescinded or is determined by judicial authority to be invalid or of no legal effect." *Id.*

We trust that this letter is responsive to your inquiry.

Sincerely,

Andrew B. Rogers
Administrator

***Note: The actual name(s) was removed to protect privacy in accordance with 5 U.S.C. § 552(b)(6).** You represent that you do not seek this opinion for any party that the Wage and Hour Division (WHD) is currently investigating or for any litigation that commenced prior to your request. This opinion is based exclusively on the facts and circumstances described in your request and is given based on your representation, express or implied, that you have provided a full and fair description of all the facts and circumstances that would be pertinent to our consideration of the question presented. The existence of any other factual or historical background not contained in your letter might require a conclusion different from the one expressed herein.

FLSA 2025-05

September 30, 2025

Dear **Name***:

This letter is in response to your request for an opinion concerning the application of the overtime requirements of the Fair Labor Standards Act (FLSA) to your work at a restaurant and a members-only club ("members club"), which operate on the first and second floors, respectively, of a hotel, and whose ownership, management, and operations, among other things, appear common.

It is our opinion that, under the specific facts presented, you are jointly employed by the restaurant and members club. Accordingly, under these facts, all the hours that you work at the restaurant and members club must be combined for purposes of calculating your hours worked each workweek, and both the restaurant and members club are jointly and severally liable for all aspects of FLSA compliance.

This opinion is based exclusively on the facts as presented below that you provided to the Department and may not apply to different facts in this or other situations.

BACKGROUND

You represent that you are employed as a hostess at a restaurant at the rate of $28.00 per hour and have been offered shifts at the members club at the same rate of pay. The restaurant is located inside of a hotel with the members club located on the second floor of the restaurant. The restaurant and members club share a kitchen, offer substantially the same food and beverages, and operate under similar trade names. You further state that other employees also perform work in both the restaurant and members club in the same workweek, such as other hostesses, the bar manager, the wine director, and members of the management teams of each facility. Similarly, you represent that you are occasionally "clocked in" at the restaurant while assigned to work at the members club at the same hourly rate and that you have observed managers from the restaurant participate in disciplinary matters at the members club when you were working there. Although the restaurant and club are purported to have separate business structures and possibly use different timekeeping and payroll systems, you believe they have common ownership.

Your request indicates that you generally work 5 dinner shifts per workweek at the restaurant, which total 40 hours or less per workweek. You have been asked to "pick up" 4 lunch shifts at the members club, which will increase your total hours worked in the workweek beyond 40 hours. When you asked whether you would receive overtime pay for hours worked over 40 in a workweek, you state that you were told that you would not, on the basis that the restaurant and members club are different companies.

GENERAL LEGAL PRINCIPLES

The FLSA defines "employer," "employee," and "employ" at 29 U.S.C. § 203 (d), (e) and (g), respectively. An "employee" is "any individual employed by an employer," an "employer" includes "any person acting directly or indirectly in the interest of an employer in relation to an employee[,]" and the term "employ" includes "to suffer or permit to work." 29 U.S.C. §§ 203(e)(1), 203(d), 203(g). The FLSA separately defines the term "person" to include "any organized group of persons," which could include groups of "corporations." 29 U.S.C. 203(a).

Separately incorporated entities may be considered a single employer with respect to an employee, or employees, for purposes of compliance with the FLSA. Alternatively, even if two or more entities are considered separate employers, they can nonetheless be "joint employers" under the FLSA if they have related employment relationships with the same employee(s). *See, e.g.*, *Chao v. A-One Medical Services, Inc.*, 346 F.3d 908, 917–18 (9th Cir. 2003). All joint employers are jointly and severally liable for FLSA compliance, including any wages, damages, and penalties owed to the employee(s). *See, e.g.*, *Schultz v. Capital Int'l Sec., Inc.*, 466 F.3d 298, 310 (4th Cir. 2006).

When one employer employs a worker for one set of hours in a workweek, and another employer employs the same worker for a separate set of hours in the same workweek, that scenario may be, under appropriate circumstances, "horizontal" joint employment. Horizontal joint employment typically occurs when employers are sufficiently associated with respect to the employment of the particular employee(s). *See generally Chao*, 435 F.3d at 918 (citing 29 CFR 791.2(a) (2003)). As relevant here, this can occur where, among other situations, "there is an arrangement between the employers to share an employee's services, as, for example, to interchange employees." *Id.* at 917 (quoting 29 CFR 791.2(b) (2003)).

If horizontal joint employment exists, the employee's total hours worked each workweek for all joint employers must be used (1) to confirm that the employee has received the FLSA minimum wage and (2) to determine the employee's entitlement to overtime pay—both with respect to whether or to what extent overtime hours have been worked and the total remuneration and total hours worked for purposes of calculating the regular rate and resulting overtime premium due. *See, e.g.*, *Chao,* 346 F.3d at 918 (aggregating hours from joint employers for the purpose of determining overtime); *Wirtz v. Hebert*, 368 F.2d 139, 141–42 (5th Cir. 1966) (same). Thus, an employee's hours worked for all the employee's joint employers must be added together to determine the employee's total hours for the workweek, and each of the employers is jointly and severally liable for any wages owed under the FLSA. For example, two separate retail establishments might coordinate with each other over the pay or work schedule of the same cashier such that they are joint employers. In this scenario, if the cashier worked 30 hours per workweek for each establishment, the cashier would be entitled to 20 hours of overtime premium pay (60 total hours minus 40), which the cashier could collect from either employer.

OPINION

Based on your representation of the facts, we agree that your hours worked for both the restaurant and the members club, because they are joint employers, must be combined to determine your hours worked during each workweek, and that you are entitled to overtime pay if your combined hours exceed 40 in a single workweek.

As explained above, while the restaurant and members club may be separate legal entities, corporate formalities do not necessarily override the FLSA's application. The facts you have provided are sufficient to demonstrate a horizontal joint-employer relationship under the FLSA, as the restaurant and members club are sufficiently associated with each other with respect to your employment.

For example, the two facilities appear to be operationally integrated with each other, including their physical proximity, their common kitchen, and their similar food and beverage menus. While the restaurant and members club may have separate management teams, some managers periodically supervise and manage both, and the facilities apparently have the same owners. *See* WHD Opinion Letter FLSA2005-17NA (June 14, 2005) (noting that potentially relevant factors to prove the sufficient association of joint employers include "whether there are common officers or directors of the companies" and "the nature of the common management support provided"). That you can be "clocked in" at the restaurant and then directed to work in the members club likewise indicates sufficient association, as do your identical rates of pay at each facility and the fact that the additional shifts being offered at the members club do not conflict with your current restaurant schedule, which suggests that they coordinate when scheduling you. All these factors are indicia that the two operations are at minimum joint employers under the FLSA.

Accordingly, the Department believes that all of the hours that you work each workweek at the restaurant and the members club must be combined for the purposes of FLSA compliance, and that you should be paid the overtime premium in accordance with the FLSA for hours worked over 40 in a workweek.

We trust that this letter is responsive to your inquiry.

Sincerely,

James R. Macy
Acting Administrator

***Note: The actual name(s) was removed to protect privacy in accordance with 5 U.S.C. § 552(b)(6).** You represent that you do not seek this opinion for any party that the Wage and Hour Division (WHD) is currently investigating or for any litigation that commenced prior to your request. This opinion is based exclusively on the facts and circumstances described in your request and is given based on your representation, express or implied, that you have provided a full and fair description of all the facts and circumstances that would be pertinent to our consideration of the question presented. The existence of any other factual or historical background not contained in your letter might require a conclusion different from the one expressed herein. This is an official ruling for purposes of the Portal-to-Portal Act, 29 U.S.C. § 259.